

Commodities and hedge funds do not make good investments in a long-term portfolio. The expenses associated with these alternative investments are high, and those costs outweigh the benefit of an increase in portfolio diversification. Money management companies are always seeking new ideas, and perhaps one day they will create a low-cost index or ETF that offers consistent low correlation with stocks and bonds and generates real return after inflation.

Collectibles are unique in that they have rarity value. The monetary rewards of collecting can also be enhanced by the aesthetic value from owning these investments. Collect what you enjoy collecting, and perhaps you will even make money doing it.

NOTE

¹Vikas Agarwal and Naranyan Y. Naik, “Multi-Period Performance Persistence Analysis of Hedge Funds,” *Journal of Financial and Quantitative Analysis*, vol. 35, no. 3, September 2000.